

Ashok Kumar & Ors. v. State of U.P. & Ors.

Allahabad High Court · Division Bench · 18 July 2008 · 2008 SCC OnLine All 696 · Writ Petition Nos. 21073, 22678, 22674, 22373 & connected of 2008 · **Writ petitions partly allowed; s.126 assessment notices and s.3 (1958 Act) demand notices quashed**

HEADNOTE

A provisional assessment for unauthorised use of electricity under Section 126 of the Electricity Act, 2003 is valid only if the mandatory procedure of Clause 6.8 of the U.P. Electricity Supply Code, 2005 is followed and the consumer is given a real opportunity of hearing at TWO distinct stages. The condition precedent to the s.126(1) power is that the assessing officer records a conclusion of unauthorised use; because such a finding overlaps with the s.135 offence and stigmatises the consumer, the officer must, before making the provisional assessment, disclose the specific manner of the alleged unauthorised use and hear the consumer's defence, then record the conclusion (the 'guilt' stage), and separately afford a hearing on quantum before final assessment. Clause 6.8 requires the evidence substantiating unauthorised use to be recorded in the inspection report and stated in the assessment notice/order, 15 working days to reply, and a fixed date of personal hearing, with a final order before any recovery. A demand notice under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 could not issue: the Executive Engineer of DVVNL is not a 'prescribed authority' under Section 2(b) of the 1958 Act unless so notified (and a notice describing him as an officer of 'UPPCL' was defective). Although DVVNL is a 'Government company' (a subsidiary of UPPCL under Section 617 of the Companies Act, 1956), the assessment and demand notices, issued in breach of Clause 6.8 and s.126, were quashed with liberty to proceed afresh.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

Mandatory Clause 6.8 procedure before an unauthorised-use assessment

QUESTION

Were the provisional assessment notices valid, given the procedure prescribed by Clause 6.8 of the Code read with s.126?

HOLDING

No. Clause 6.8 requires the details/evidence substantiating unauthorised use to be recorded in the inspection report and stated in the assessment notice and order (6.8(a)(iv),(v)), 15 working days for reply (6.8(b)(i)), a fixed date on which the consumer is heard in person (6.8(b)(ii)), and a final order of assessment (6.8(c)) before a demand notice issues. Here the MRI report/findings were not shown to the consumers, the notice merely recited that theft/irregularities were found and gave seven days, and no final order preceded the s.3 demand. The provisional notices are wholly illegal for non-compliance with Clause 6.8 read with s.126. ¶ 55, 75-78

LIMITING FACTS

Inspection of 15-1-2008 alleged CT shorting / missing-phase tampering on electronic meters; the MRI 'cumulative tamper status' showed erratic durations that the officials did not investigate, and the report/notice did not substantiate the allegation.

INTERPLAY · EA2003::126

Two-stage opportunity of hearing; recorded conclusion of unauthorised use as a condition precedent

HOLDING

The condition precedent to the s.126(1) power is that the assessing officer come to and record a conclusion of unauthorised use. Because that finding overlaps with the s.135 offence and stigmatises the consumer, the officer must, before making the provisional assessment, disclose the specific manner of the alleged unauthorised use and give the consumer an opportunity to defend, then record the conclusion (conferring jurisdiction). Opportunity is required at two distinct stages — first, before concluding that unauthorised use occurred (the guilt stage), and second, before final assessment (the quantum stage); only an assessment conducted in this manner is valid. ¶ 56-59

FLAG This two-stage-hearing statement is the ratio later applied in SCJ-154 (Arup Kumar Mitra), which cites this case (as Ashok Kumar v. State of U.P., (2008) 6 ADJ 660).

INTERPLAY · UPGEU1958::2(b)

Executive Engineer of DVVNL not a 'prescribed authority' unless notified; s.3 demand notices invalid

HOLDING

The Executive Engineer of DVVNL is not a 'prescribed authority' within s.2(b) of the 1958 Act so long as he is not notified as such thereunder; the demand notices issued under s.3 of the 1958 Act are therefore not legal and valid. A demand notice by the Executive Engineer describing himself as an officer of 'UPPCL' was additionally defective. ¶ 54

FLAG Recorded as an interplay node under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958.

INTERPLAY · CA1956::617

DVVNL is a 'Government company' (subsidiary of UPPCL)

HOLDING

Reading s.4(1) with s.617 of the Companies Act, 1956, DVVNL is a subsidiary of UPPCL (admittedly a Government company) and is therefore itself a 'Government company' under s.617; this bears on its status as a deemed licensee and instrumentality. ¶ 35

FLAG Companies-Act/status node; recorded compactly for the ledger.

PRINCIPLE TAGS

clause-6.8-hearing-procedure-mandatory-before-uue-conclusion Clause 6.8's requirements — evidence of unauthorised use recorded in the report and notice, 15 working days to reply, and a personal hearing — are mandatory; a bare notice reciting that irregularities were found, with 7 days to object, is non-compliant and the assessment is illegal. Lead authorities: *Maa Vind Vasini Industries v. Purvanchal Vidyut Vitran Nigam Ltd.* ¶ 75-78

s126-two-stage-hearing-uue-conclusion-then-quantum s.126 requires a hearing at two distinct stages — before the assessing officer records the conclusion of unauthorised use (guilt), and before final assessment (quantum); the recorded conclusion of unauthorised use is the jurisdictional condition precedent to a provisional assessment. ¶ 56-59

prescribed-authority-must-be-notified-under-1958-act An officer can exercise recovery powers as a 'prescribed authority' under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 only if notified as such; absent notification, s.3 demand notices are invalid. ¶ 54

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER UNAUTHORISED USE / TAMPERING ACTUALLY OCCURRED

The Court's observations on the MRI report and the technical inconsistencies were expressly made 'not with any intention to record a final opinion', only to highlight the missing proof; the merits were left to a fresh order. It also cautioned that technical expert opinion causing stigma and fiscal/penal liability must be proved with relevant and cogent material. ¶ 74-75

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Maa Vind Vasini Industries v. Purvanchal Vidyut Vitran Nigam Ltd.</i> 2008 (1) ADJ 75 : 2008 (2) ALJ 456 (DB) Allahabad High Court (Division Bench)	The Clause 6.8 / s.126 procedure for assessing unauthorised use — recording and disclosing the evidence and affording a hearing — must be followed before a valid assessment/demand can be made.	Applied; the Court quoted paras 15-16 and followed it on the mandatory nature of the Clause 6.8 procedure. ¶ many (quoted at paras following 55)	Court	Applied
<i>Popcorn Entertainment v. City Industrial Development Corporation</i>	On when a writ petition will be entertained despite the availability of an alternative statutory remedy.	Referred on the alternative-remedy question.	Court	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
2007 (4) JT (SC) 70 Supreme Court				
<i>Electronics Corporation of India Ltd. v. Secretary, Revenue Department, Govt of A.P.</i> (1999) 4 SCC 458 : AIR 1999 SC 1734 Supreme Court (Constitution Bench)	On the tests for treating a Government company/corporation as an instrumentality or 'State'.	Relied on in determining DVVNL's status as a Government company/instrumentality.	Court	Relied on
<i>Doypack Systems Pvt. Ltd. v. Union of India</i> (1988) 2 SCC 299 Supreme Court	Principles of statutory interpretation, including reading provisions in their context to give effect to legislative intent.	Referred on construction of the Companies Act / status provisions.	Court	Referred
<i>R.C. Cooper v. Union of India</i> (1970) 1 SCC 248 : AIR 1970 SC 564 Supreme Court	A company registered under the Companies Act has a separate legal personality distinct from its shareholders.	Referred on the separate legal personality of a company in analysing DVVNL's status.	Court	Referred

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.